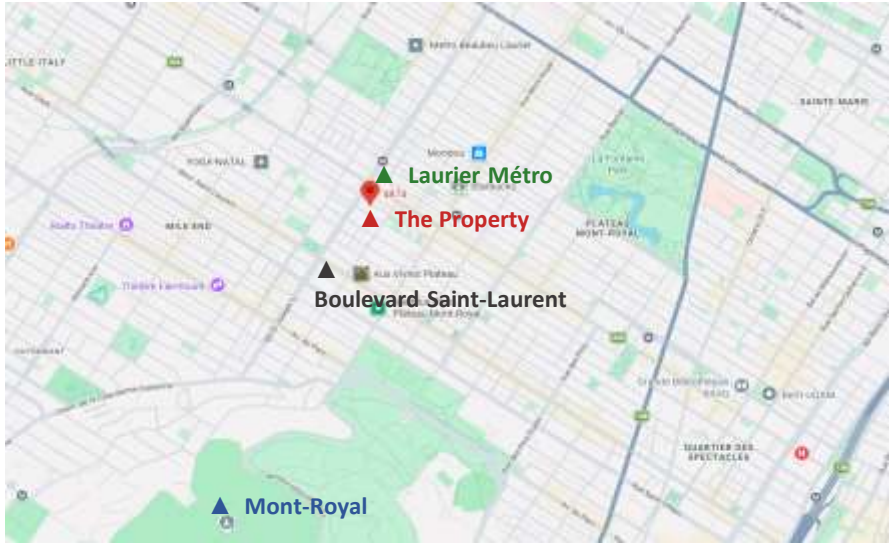
Real Estate Investment Opportunity

Presented by :

Abderrahmane Benchelabi
Hugh Cronin
Antonin Le Clei

Property Summary



WALKING DISTANCES FROM THE PROPERTY

Laurier Métro	Rue St-Laurent	The Property
~2 min walk	~8 min walk	Starting point

Property Summary

PROPERTY DETAILS (BASE CASE)	
Property Type	**Multi-Residential**
Location	**4874-4896 Rue Drolet, Montreal**
Neighbourhood	**Le Plateau-Mont-Royal / Mile End**
Asking Price	**$2,685,000**
Purchase Price (Likely)	**$2,685,000**
Year 1 NOI (Likely)	**$118,974**
Implied Cap Rate	**4.43%**
Hold Period	**5 Years**
Acquisition Costs	**$53,700 (Likely)**

INVESTMENT THESIS

1. **Income from Day One**

   Already occupied and generating stable rental income. No renovation or lease-up period required.

2. **Montréal Rental Market**

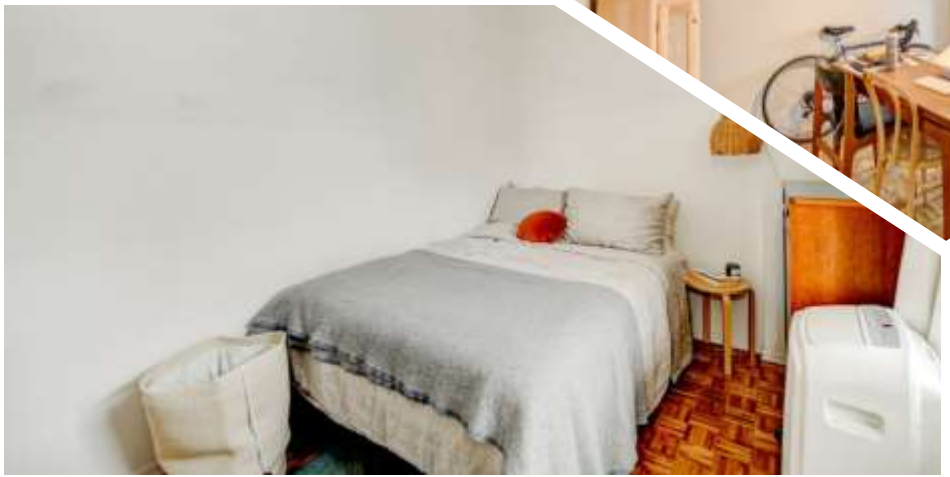
   Plateau-Mont-Royal / Mile End is one of Montréal's most in-demand rental neighbourhood with persistently low vacancy rates.

3. **Attractive Pricing**

   Acquired at a 4.43% cap rate, in line with comparable multi-residential transactions in the submarket.

BARE INTERIOR UNIT EXAMPLE

FURNISHED INTERIOR EXAMPLE



EXTERIOR

Personal Backyard

Beautiful outdoor space to enjoy in the summer

THE MARKET

2.1%

Vacancy Rate

$1,460/month

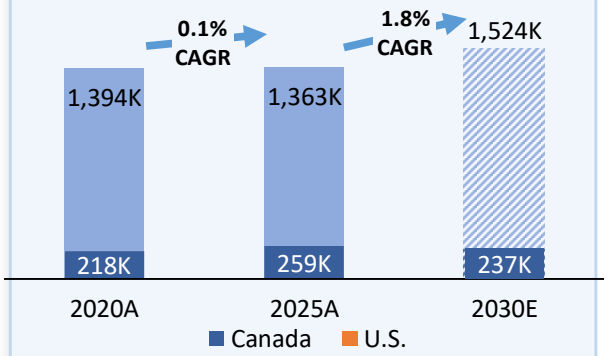
$315 higher than MTL. AVG.

Avg. Market Rent

3.5-4.5%

Cap Rate Trend

Housing Starts in North America



Housing Starts in Montreal

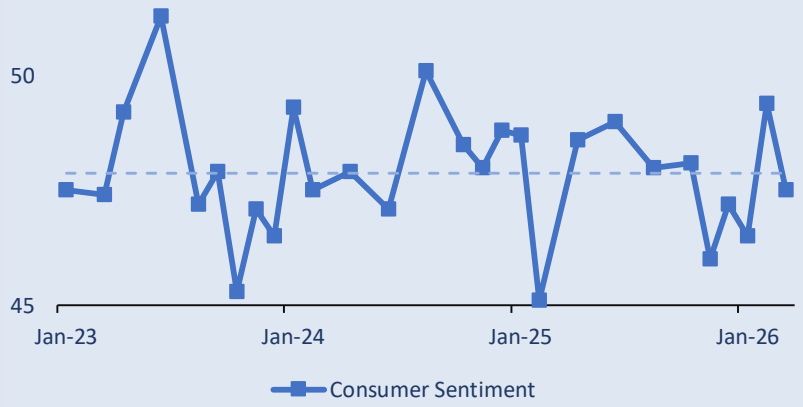
2025:
58% increase

Represents the strongest jump among Canada's major markets

THE MARKET

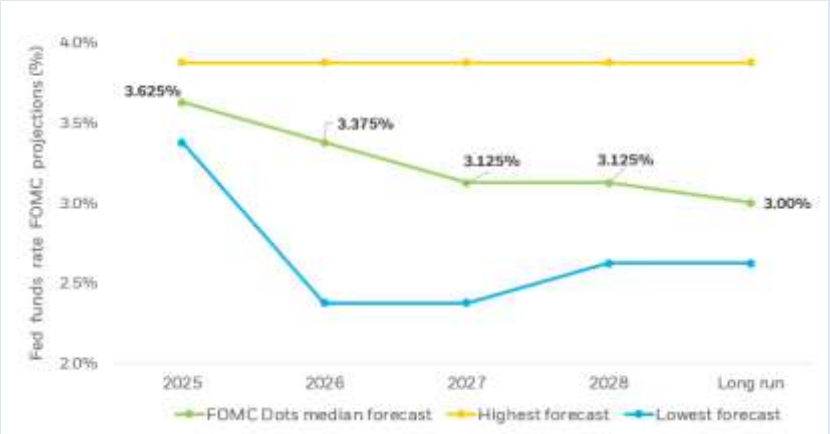
Consumer Confidence Index

3-year Average: 47.8
As of March 2026: 47.5



- Sentiment is mixed, lower than average which could push saving behavior.
- Consumers more likely to look for economic housing prices.

Rate Environment & Cut Projections

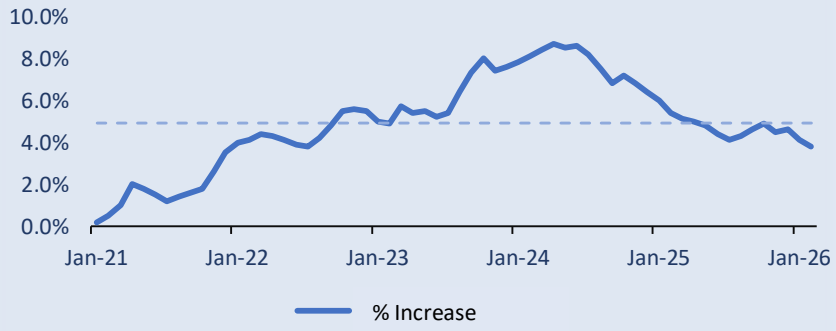


- February 2026 unemployment rate rose to 4.4% and the U.S lost 92,000 non-farm jobs.
- Ongoing war in Iran has pushed Oil Prices to an all time high, a major raw input for many goods. Gas prices at highest since 2024.
- Incentive to cut rates further.

THE MARKET

CPI Rent Inflation In Canada

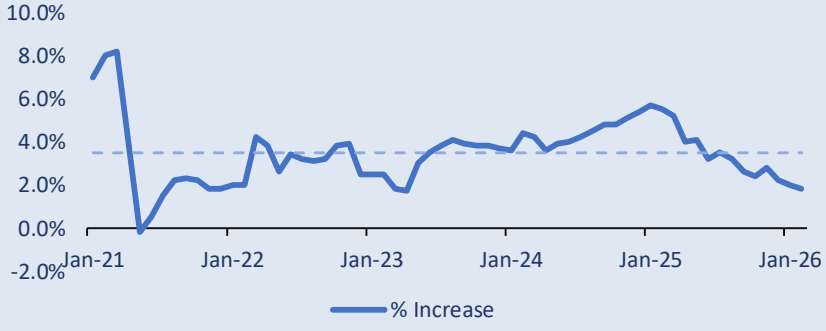
5-year Average: 4.9% Increase
As of January 2026: 3.8%



- Current rent inflation indicates a balanced market, rates are slightly lower than average.
- Renters (us) may have a harder time filling vacancies.
- Pushes promotional concessions such as free months of rent to fill vacancies.

Canadian Average Weekly Earnings Growth

5-year Average: 3.4% Increase
As of January 2026: 2.3%



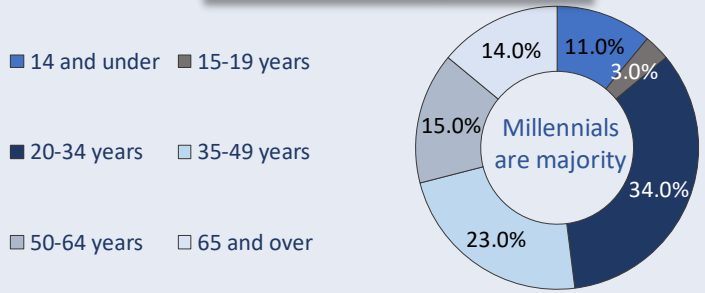
- Wage growth has slowed significantly since 2025.
- Less wage growth squeezes disposable income, rentees' ability to afford increased rents lowered.
- Less likely to contribute to housing starts, favorable supply environment as a renter.

Neighbourhood Demographic Analysis

Average Income

Individual	$55,324
Family	$117,858

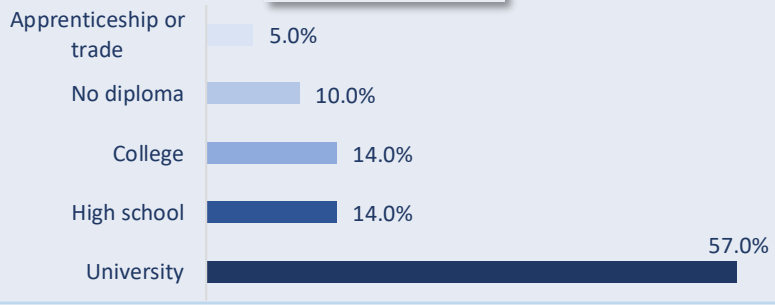
Population by Age Group



Occupancy of Dwellings

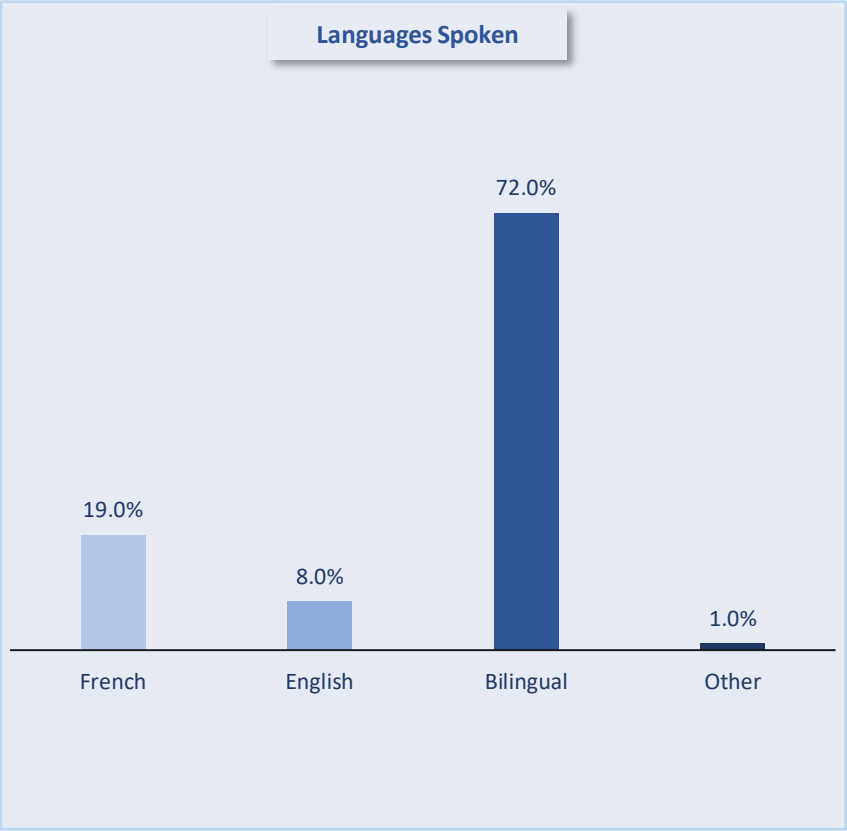
Tenants	71%
Owners	29%

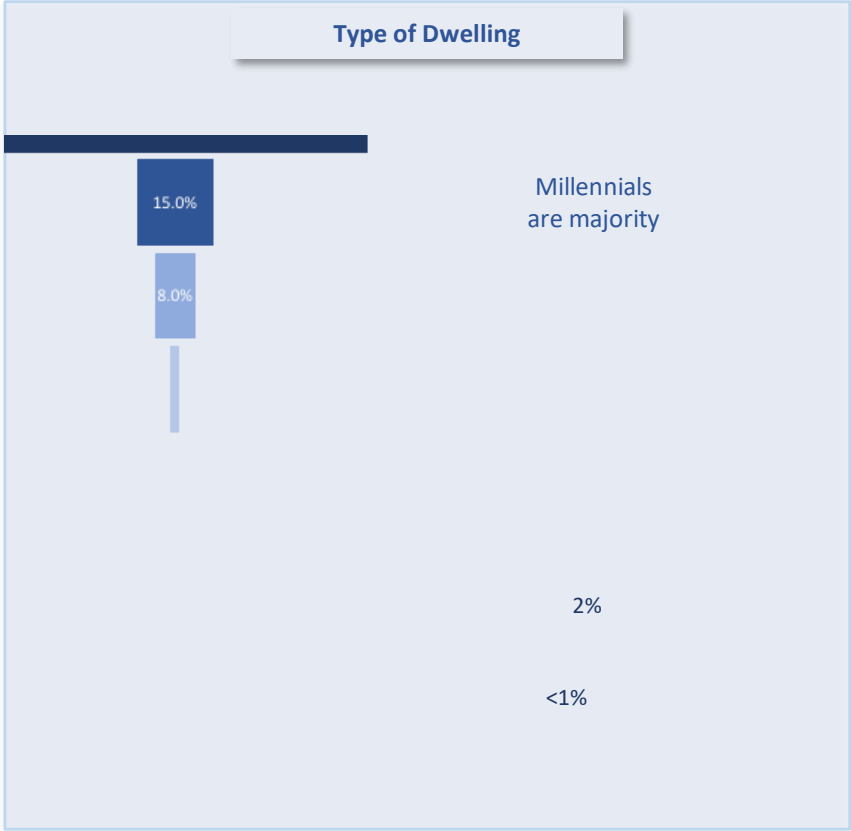
Education Level



- Demographic mostly students or early-stage career, the majority age group prefers economic rent prices and convenience

Neighborhood Demographic Analysis





FINANCIAL ASSUMPTIONS BY SCENARIO

Each scenario reflects different assumptions about revenue growth, expense growth, mortgage terms, and exit conditions.

PESSIMISTIC	
Revenue Growth / Yr	3.0%
Expense Growth / Yr	3.0%
Mortgage Rate	4.20%
LTV	60%
Mortgage Amount	$1,617,000
Amortization	25 years
Exit Cap Rate	4.50%

LIKELY	
Revenue Growth / Yr	3.5%
Expense Growth / Yr	2.5%
Mortgage Rate	3.90%
LTV	65%
Mortgage Amount	$1,745,250
Amortization	25 years
Exit Cap Rate	4.43%

OPTIMISTIC	
Revenue Growth / Yr	4.0%
Expense Growth / Yr	2.0%
Mortgage Rate	3.50%
LTV	70%
Mortgage Amount	$1,872,500
Amortization	25 years
Exit Cap Rate	4.30%

INVESTMENT STRUCTURE & THE ASK

CAPITAL STACK — LIKELY SCENARIO	
Mortgage	65% $1,745,250
Our Team Equity	17.5% $496,725
Class Investors	17.5% $496,725
	Total: $2,738,700

INVESTOR TERMS	
Investment Vehicle	**LLC / Limited Partnership**
Equity Sought (Likely)	**$496,725 (50% of equity)**
Equity Sought (Pessimistic)	**$565,950**
Equity Sought (Optimistic)	**$428,000**
Profit Split	**50% LP (class) / 50% GP (team)**
Hold Period	**5 Years**
Target Levered IRR	**11.73% (Likely scenario)**

INVESTMENT STRUCTURE & THE ASK (Most likely)

Asking Price:
$2,685,000

Purchase Price:
$2,685,000

Loan-to-Value
65%

Equity Hurdle Rate: 8.27
Levered IRR: 11.73%

FINANCING OVERVIEW (MOST LIKELY)

1

Own Equity:
$496,725

2

Investor Equity:
$496.725

3

Mortgage Loan:
$1,745,250

Financing Terms

Amortization:	**Year 5 Balloon Payment:**	**Fixed Rate:**	**Debt Service:**
25 Years 5 Year Term	$1,516,650	3.9% (.322% Monthly)	$109,032/Year

FINANCIAL RESULTS - LIKELY

UNLEVERED	
Hurdle (WACC)	***5.43%***
IRR	**7.14%**
NPV	**$211,475**

LEVERED	
Hurdle (Cost of Equity)	***8.27%***
IRR	**11.73%**
NPV	**$165,008**

FINANCIAL RESULTS - IRR & NPV

Unlevered discounted at WACC | Levered discounted at Cost of Equity

UNLEVERED	PESS.	OPT.
Hurdle (WACC)	*6.00%*	*6.30%*
Unlevered IRR	**5.28%**	**9.08%**
Unlevered NPV	**($85,014)**	**$345,330**

LEVERED	PESS.	OPT.
Hurdle (Cost of Equity)	*8.71%*	*12.84%*
Levered IRR	**6.71%**	**17.79%**
Levered NPV	**($97,934)**	**$199,776**

PESSIMISTIC

Negative unlevered and levered NPV. Hurdle missed by only 0.72% for levered and 2% for levered.

OPTIMISTIC

Strongest returns. Levered IRR (17.79%) almost 5% above hurdle.

INTERPRETING THE RESULTS

What do these numbers actually mean?

What NPV Tells Us

- Positive NPV = investment earns above the required return (hurdle rate)
- Likely levered NPV = +$165,008, value created above investor requirements
- Pessimistic NPV is negative : returns fall short of hurdle, not a total loss

Pessimistic: Should Investors Worry?

- Levered IRR of 6.71% vs hurdle of 8.71%, a gap of only 2%
- Investors still receive capital back plus a positive return
- Negative NPV signals underperformance vs. required return, not capital loss

Key Takeaway

- Base case delivers 11.73% levered IRR well above the 8.27% hurdle
- Optimistic case (17.79% IRR) shows compelling upside potential
- No-renovation profile makes this a straightforward, lower-risk investment

RISKS & MITIGATION

Key risks to this investment and our strategies to minimize their impact on investor returns.

Montréal Rental Market Softening

Conservative 3% revenue growth in base case. Plateau-Mont-Royal has historically maintained strong occupancy. Pessimistic scenario still models positive NOI throughout.

Expense Inflation

Expense growth modeled at 2.5–3% annually. NOI projections are net of realistic cost increases. Revenue growth spread offsets expenses in base and optimistic cases.

Tenant / Vacancy Risk

Property is currently tenanted and income-generating. Pessimistic scenario models 2.5% vacancy & credit allowance vs. 1% in the optimistic case.

Exit / Cap Rate Risk

Exit modeled at acquisition cap rate (4.43%) in base case : no compression assumed. Pessimistic exits at 4.50%, above entry.

A simple, income-first Montréal real estate investment.

1

No Renovation Risk

Tenanted and income-generating from day one.

2

Positive Returns (Likely)

11.73% levered IRR vs 8.27% hurdle. NPV = +$165,008.

3

Strong Upside Case

Optimistic levered IRR of 17.79% with NPV of $199,776.

Questions? We welcome your feedback and are happy to discuss any of our assumptions.

SOURCES

https://www.centraide-mtl.org/portraits-de-quartier/ile-de-montreal/le-plateau-mont-royal/

https://www.cbc.ca/news/canada/montreal/rent-tenants-owners-tal-2025-1.7436934

https://www.remax-quebec.com/en/properties/multiplex-for-sale/4874-4896-rue-drolet-montreal-le-plateau-mont-royal-mile-end-22029241

https://www.bankofcanada.ca/publications/mpr/mpr-2025-10-29/projections/

https://www.nesto.ca/mortgage-rates/

https://www.altusgroup.com/insights/montreal-commercial-real-estate-market-update/?utm_source=google&utm_medium=organic#overall

https://www150.statcan.gc.ca/n1/daily-quotidien/250331/dq250331f-eng.htm

https://www03.cmhc-schl.gc.ca/hmip-pimh/en/TableMapChart/Table?TableId=2.1.15.2&GeographyId=24&GeographyTypeId=2&DisplayAs=Table&GeograghyName=Quebec

https://jeanfrancoiscamire.com/en/plateau-mont-royal/#:~:text=See%20more%20articles%20from%20our,Couples%20with%20children%20at%20home

https://tradingeconomics.com/canada/rent-inflation

https://www.ishares.com/us/insights/fed-outlook-2026-interest-rate-forecast

https://tradingeconomics.com/canada/consumer-confidence

https://xpertsource.com/blogue/courtier-immobilier/combien-coutent-services-courtier-immobilier-quebec